Stock Market Fundamentals and Financial Statement Analysis

Bluestock FinTech – Data Analyst Internship
Week 2 | Task 1: Stock Market Summary

1. Introduction to the Stock Market

The stock market is a place where investors buy and sell shares of publicly listed companies. It helps companies raise funds and allows investors to become shareholders.

In India, the two major stock exchanges are the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE).

2. Nifty 50 and Sensex

Nifty 50: Nifty 50 is a stock market index that tracks the performance of 50 major companies listed on the NSE.

Sensex: Sensex is a stock market index that tracks the performance of 30 major companies listed on the BSE.

These indices help investors and analysts understand overall market trends.

3. Initial Public Offering (IPO)

An IPO is the process through which a private company offers its shares to the public for the first time.

Companies may launch IPOs to raise funds for expansion, repay debt, or support business activities.

SME IPO: An SME IPO allows eligible small and medium enterprises to raise funds from public investors through dedicated stock exchange platforms.

4. Market Capitalization

Market capitalization is the total market value of a company's outstanding shares.

Formula: Market Cap = Share Price × Outstanding Shares

Example: If a company has 10 lakh shares and its share price is ₹200, its market capitalization is ₹20 crore.

Market capitalization helps compare the size of listed companies.

5. P/E Ratio (Price-to-Earnings Ratio)

The P/E Ratio compares a company's share price with its earnings per share.

Formula: P/E Ratio = Share Price ÷ EPS

Example: Share Price = ₹200 and EPS = ₹20.

P/E Ratio = 200 ÷ 20 = 10.

This ratio is useful for comparing company valuations.

6. P/B Ratio (Price-to-Book Ratio)

The P/B Ratio compares a company's share price with its book value per share.

Formula: P/B Ratio = Share Price ÷ Book Value per Share

Example: ₹300 ÷ ₹100 = 3.

It helps analysts understand how the market values a company compared with its accounting book value.

7. Earnings Per Share (EPS)

EPS measures how much profit is earned for each weighted-average outstanding common share.

Formula: EPS = (Net Profit − Preferred Dividends) ÷ Weighted Average Common Shares

Example: Net profit is ₹20 lakh, preferred dividends are zero, and weighted average common shares are 2 lakh.

EPS = ₹10 per share.

8. Dividend, Bonus Shares and Stock Split

Dividend: A distribution of company earnings or reserves to shareholders, usually in cash.

Bonus Shares: Additional shares issued to existing shareholders without extra payment. In a 1:1 bonus issue, a shareholder with 20 shares receives 20 additional shares.

Stock Split: A company divides its existing shares into a larger number of shares. In a 2-for-1 split, 10 shares become 20 shares, with the price per share adjusting approximately by half.

Bonus issues and stock splits do not automatically increase the total investment value.

9. Trading Volume

Trading volume is the total number of shares traded during a specific period.

Example: If 40,000 shares were traded on Tuesday compared with 15,000 on Monday, Tuesday had higher trading activity.

Trading volume helps analysts understand market activity.

10. Bull Market and Bear Market

Bull Market: A period when stock prices are generally rising.

Bear Market: A period when stock prices are generally falling.

Understanding these conditions helps analysts study market trends.

11. Balance Sheet

A balance sheet shows a company's assets, liabilities, and shareholders' equity at a particular date.

Formula: Assets = Liabilities + Equity

Example:

- Assets = ₹15 lakh
- Liabilities = ₹5 lakh
- Shareholders' Equity = ₹10 lakh

The balance sheet helps analysts understand a company's financial position.

12. Profit and Loss Statement

A Profit and Loss Statement shows a company's revenue, expenses, and profit or loss during a particular period.

Basic Formula: Profit = Revenue − Expenses

Example:

- Revenue = ₹20 lakh
- Expenses = ₹12 lakh
- Profit = ₹8 lakh

It helps analysts understand profitability and business performance.

13. Cash Flow Statement

A cash flow statement shows how cash enters and leaves a company during a period.

It includes three main activities:

- **Operating Activities:** Cash generated or used in daily business operations.
- **Investing Activities:** Cash used to purchase or received from selling long-term assets and investments.
- **Financing Activities:** Cash received from borrowing or issuing shares, and cash paid for loan repayments or shareholder distributions.

Example: If operating cash receipts are ₹8 lakh and operating cash payments are ₹5 lakh, net operating cash flow is ₹3 lakh, assuming no other operating cash flows.

14. Important Financial Ratios

Current Ratio: Measures the ability to cover short-term liabilities using current assets.

Formula: Current Assets ÷ Current Liabilities

Example: ₹12 lakh ÷ ₹4 lakh = 3:1.

Debt-to-Equity Ratio: Compares a company's total debt with shareholders' equity.

Formula: Total Debt ÷ Shareholders' Equity

Example: ₹8 lakh ÷ ₹4 lakh = 2:1.

Net Profit Margin: Measures the percentage of revenue remaining as net profit.

Formula: (Net Profit ÷ Revenue) × 100

Example: (₹2 lakh ÷ ₹10 lakh) × 100 = 20%.

These ratios help analysts compare liquidity, financial risk, and profitability.

15. Importance of Stock Market Knowledge for Data Analysts

Stock market knowledge helps data analysts understand financial data and business performance.

Data analysts can use Excel, SQL, Python, and Power BI to:

- Analyze stock prices and trading volumes.

- Compare revenue and profitability.
- Calculate financial ratios.
- Create financial dashboards.
- Identify historical trends and prepare reports.

16. Conclusion

The stock market plays an important role in helping companies raise funds and investors participate in business ownership. Understanding stock market concepts, financial statements, and financial ratios is useful for financial data analysis.

These concepts provide a foundation for analyzing listed companies and creating financial dashboards.

17. Financial Statement Analysis – Tata Consultancy Services (TCS)

Company Name: Tata Consultancy Services Limited (TCS)

Industry: Information Technology (IT) Services

Stock Exchanges: NSE and BSE

Objective: To understand the company's financial performance by analyzing its revenue, net profit, assets, liabilities, and cash flows using published financial statements.

17.1 Balance Sheet Analysis (FY 2025–26)

According to TCS's Consolidated Balance Sheet as at 31 March 2026:

Financial Item	Amount (₹ crore)
Total Assets	1,82,372
Total Equity	1,08,478
Total Liabilities	73,894
Current Assets	1,35,705
Current Liabilities	60,914

Analysis:

TCS reported total assets of ₹1,82,372 crore and total equity of ₹1,08,478 crore. Current assets were higher than current liabilities, indicating that the company had more short-term assets than short-term obligations.

Current Ratio:

1,35,705 ÷ 60,914 = 2.23

The current ratio of approximately 2.23 indicates that TCS had ₹2.23 in current assets for every ₹1 of current liabilities.

Source: TCS Integrated Annual Report 2025–26, Consolidated Balance Sheet, pages 195–196.

17.2 Profit and Loss Statement Analysis (FY 2025–26)

According to TCS's Consolidated Statement of Profit and Loss for the year ended 31 March 2026:

Financial Item	Amount (₹ crore)
Revenue from Operations	2,67,021
Total Income	2,71,423
Total Expenses	2,01,410
Profit Before Tax	65,487
Profit for the Year	49,454

Net Profit Margin:

Net Profit Margin = (Profit for the Year ÷ Revenue from Operations) × 100

= (49,454 ÷ 2,67,021) × 100

= **18.52%**

Analysis:

TCS generated ₹2,67,021 crore in revenue from operations and reported a profit of ₹49,454 crore for FY 2025–26.

The net profit margin was approximately 18.52%, meaning the company earned about ₹18.52 in profit for every ₹100 of revenue.

This indicates that TCS remained profitable during the financial year.

Source: TCS Integrated Annual Report 2025–26, Consolidated Statement of Profit and Loss, page 197.

17.3 Cash Flow Statement Analysis (FY 2025–26)

According to TCS's Consolidated Statement of Cash Flows for the year ended 31 March 2026:

Financial Item	Amount (₹ crore)
Net Cash from Operating Activities	52,094
Net Cash Used in Investing Activities	(12,845)
Net Cash Used in Financing Activities	(42,133)
Net Decrease in Cash and Cash Equivalents	(2,884)
Cash and Cash Equivalents at Year-End	6,417

Analysis:

TCS generated ₹52,094 crore in cash from its operating activities, showing positive cash generation from its core business operations.

The company used ₹12,845 crore in investing activities and ₹42,133 crore in financing activities, including dividend payments and other financing transactions.

Cash and cash equivalents decreased during the year, with a closing balance of ₹6,417 crore.

Overall, TCS generated positive operating cash flow, although its total cash balance decreased during FY 2025–26.

Source: TCS Integrated Annual Report 2025–26, Consolidated Statement of Cash Flows, pages 202–203.

References

- SEBI Investor Education — https://investor.sebi.gov.in/
- Zerodha Varsity — https://zerodha.com/varsity/
- NSE India — https://www.nseindia.com/
- BSE India — https://www.bseindia.com/